CRDO - Credo Technology Group | Full investment artifact

Full investment research | Model assumptions and source evidence

Evidence update: October 12,2026 | Current operating model: October 11,2026 | Framework 8.0.

Active Q4 2027 price target: USD 375.072816, using 25x forward-four-quarter non-GAAP operating profit and 209.5M shares. **Analytical Base: 75; protected Excel Base: 75.** The October 6 engineering assessment is retained. The October 11 AEC case changes only AEC revenue and directly dependent costs and ceilings.

12 October 2026: official ALC specifications, with no repeated launch economics

The active Q4 2027 ceiling remains USD375.0728158649746. All quarterly operating inputs and targets, the 25x forward-four-quarter non-GAAP operating-profit method, target-quarter 209.5M share denominator, and Excel/analytical Bases 75 remain unchanged. This is an evidence-only update; the October 11 AEC revision remains the latest operating change.

Credo's October 12 release describes a 1.6T active light cable aimed at AI scale-out and front-end networks, with shipping planned in 2027. The issuer specifies up to 50m reach, about 12W at each cable end, about 30% less power than a comparable AEC and one-tenth the cable weight. Its 100M-hour MTBF figure is a design target, not an observed field history. The current product page names microVCSELs or microLEDs as potential micro-emitters. These statements do not identify which source or supplier wins a production allocation. [CRDO-9/10]

The wide-parallel architecture divides 200G lanes across multiple lower-rate NRZ optical channels and uses spare channels for failover. Qualification must still establish useful payload, power under load, temperature behavior, aligned-fiber/array yield, redundancy overhead and accepted customer shipments. The 50m target updates the earlier 30m product discussion; greater advertised reach alone does not disclose a larger paid unit cohort.

Probability and overlap. Retain the existing 60% ALC commercialization-confidence label; it describes an already converted revenue path and is not multiplied into that path again. The model already starts ALC in FY2028, beginning with the reporting bucket aroundAugust 2027. Its 10/12/14/16M quarterly sales sum to 52M in that fiscal year:130,000 assumed cables at$400,65% GP and 18.2M product COGS. The broad 2027 shipping plan fits this existing launch period, without identifying an earlier quarter or larger order. The launch/timing claim is 100% overlapped by that existing programme.

Bounded proxy attempt. The existing FY2028 programme corresponds to 0-130,000 accepted cables in a full-delay-to-existing-path exposure diagnostic, or 0-52M sales and 0-33.8M product GP before retained R&D/support. This is a diagnostic of the current modeled programme, not a cap on the whole addressable market. For an incremental 1,000 external cables, the existing$400 ASP/65% GP proxy would mean$0.4M sales,$0.14M production costs and$0.26M GP before incremental opex. However, the release gives no additional accepted quantity, contract ASP, yield or earlier recognition quarter. Extra 20-50m reach must be bridged to customer topology, net new sockets and invoices, with displacement of current AEC or optical sales deducted. Those inputs remain unknown. This bounded attempt therefore supports zero incremental sales, COGS, opex and OP from this launch evidence; it does not wait for official confirmation of credible forward evidence.

No independent price premium, extra margin or CPO/NPO invoice is added. The active AEC market branch still carries 30% probability,25% assumed net capture and 70% incremental GM less 15% opex; external NPO/CPO retains its existing 70% confidence label and separate 33M FY2028 path. LITE and COHR technology references are not named Credo supplier awards. Revisit paid design-ins, accepted quantities and dates, full-link measurements, invoice boundaries, unit costs and substitution before changing any operating input.

Item	Issuer statement / existing assumption	Model disposition
Reach / speed	Up to 50m;1.6T aggregate	Issuer target; no extra accepted unit count
Power	About 12W per end; roughly 24W for two ends by arithmetic	Link conditions and host overhead remain unverified
Weight	About 10x lighter than comparable AEC	Relative issuer claim, not a qualified cost saving
Reliability	100M hours MTBF target	No equivalent observed fleet record claimed
Shipping	Calendar 2027 planned	Fits existing FY28 launch; exact acceptance quarter unknown
FY28 ALC	52M sales at assumed$400;65% GP	Existing forecast retained; launch contribution not added twice
New additive outcome	0 sales / COGS / opex / OP	100% launch overlap; missing quantity/price/cost/recognition bridge



Credo original published ALC product image. Credit: Credo. The image shows the cable product; it is not a measurement of reach, power, MTBF, manufacturing yield or customer acceptance. Original published1024x876asset retained without resampling.

11 October 2026 historical operating update: AEC market growth, with explicit capture and costs

The active Q4 2027 ceiling rises from **USD361.864962 to USD375.072816**, **+3.65%**, on the same 25x forward-four-quarter non-GAAP operating-profit method and 209.5M shares. Analytical Base 75 and Excel Base 75 are unchanged. This is an operating-input revision, not a multiple re-rating or horizon roll.

BofA's October 9 forecast sizes the global AEC market at USD6.9bn in 2027 and 13.2bn in 2028. Credo sells finished AEC products, but the bank's channel markup and invoice boundaries are not specified. The model assumes **25% net sales capture**, with a 15-35% range, and gives this market-and-capture case a **30% probability** (20-40% sensitivity range). Capture is a net-revenue proxy, not an asserted physical market share.

The existing AEC model is subtracted in full before weighting. Uniform-month alignment gives **USD1,692.859527M in CY2027** and **USD2,129.915446M in CY2028**. This avoids treating fiscal quarter labels as calendar revenue. The month allocation is an assumption because actual monthly product sales are not disclosed.

Calendar period	Bank AEC TAM USD M	Conditional Credo net sales at 25%	Existing AEC USD M	Residual before 30%	Weighted annual revenue delta
2027	6,900.000	1,725.000	1,692.860	32.140	9.642
2028	13,200.000	3,300.000	2,129.915	1,170.085	351.025

Recognition and overlap. Preserve the FY2027 directional sales calibration through the quarter ending around April 2027; allocate the small 2027 residual across May-December. Allocate 2028 using the reference AEC monthly sales weights. Hold 2028 incremental annual dollars flat for 2029-30 rather than monetizing every additional dollar of the outer-year TAM. All eight original product vectors remain separate; no extra embedded DSP/retimer invoice or second optical growth premium is added.

Costs. Retain 70% AEC gross margin on incremental sales, covering ordinary silicon, contract manufacturing, assembly/test and production depreciation. Add 15% of incremental revenue for cash operating costs, qualification and support, leaving 55% incremental non-GAAP OP. The inherited non-GAAP SBC exclusion, share allowance and 25x multiple remain unchanged. Customer allocation, supplier capacity, pricing and cash conversion remain important execution risks; a bank TAM does not fund inventories or establish accepted orders.

Bounds and counter-evidence. A 15% net-capture case produces no positive 2027-28 residual over the existing forecast. At 35%, the upside is larger but requires stronger allocations and qualified output. Competitor gains, copper-to-optical substitution, mix and channel markup can reduce realized capture. Revisit after product-level growth, new customer qualification and manufacturing throughput evidence. These are explicit assumptions, not management guidance.

Growth or re-rate? Using the workbook's frozen USD 249.89 quote (not a live quote), first displayed Q4 2026 target USD203.232848 and Q4 2027 USD375.072816, the owner's sequential-percentage heuristic classifies this as **100% Growth**. The nearer target is below that reference quote, so the rule assigns 0% Re-Rate. This is not an additive return decomposition or measured P/E expansion; refresh with the live price and selected website multiplier before publishing.

BofA GLOBAL RESEARCH

AI 2030E TAM Outlook ~$2.2Tn

Of the overall global IT spend of ~$6.4Tn today, we believe **data center systems** to represent $839bn across both AI and non-AI. By CY30E, we expect TAM to grow toward ~$2.6Tn, growing at +32% CAGR CY26-30E and outpacing overall IT spend's +11% CAGR.

AI Data Center Systems: ~$2.2Tn by CY30E

For **AI data center systems** specifically, we now see TAM growing to ~$1.8Tn by CY30E from $564bn in CY26E, with AI servers representing ~75-80% of TAM at $1.4Tn, followed by networking at ~15-20% of TAM at $310bn, and storage at ~5% of TAM at $85bn.

- Within AI servers, we expect **AI accelerators** to represent ~$1.5Tn TAM by CY30E from just $199bn in CY25 and $382bn in CY26E, or the vast majority of server spend.
- We forecast overall **server CPU** to grow to $210bn in CY30E from ~$61bn in CY26E (+36% CAGR), while AI CPUs specifically could grow to ~$180bn in CY30E from $42bn in CY26E (+44% CAGR).
- **AI connectivity** is expected to grow at a +41% CAGR to $163bn in CY30E from $41bn in CY26E, driven by **copper connectivity** growing at +52% to $28bn and **optical connectivity** growing at +33% to $111bn.

For **non-AI data center systems**, we see TAM growth of a modest +7% CAGR.

Exhibit 12: We forecast AI Data Center Systems TAM to reach ~$2.2Tn by CY30E, +40% CAGR, with AI accelerators representing ~$1.5Tn within that Data Center Systems TAM Breakout – AI vs. non-AI

TAM ($bn)	2022	2023	2024	2025	2026E	2027E	2028E	2029E	2030E	CAGR '26-'30
Overall IT Spend (1)	$4,594.2	$4,693.0	$5,037.6	$5,580.0	$6,391.1	$7,351.9	$8,173.4	$8,974.6	$9,761.2	11%
Data Center Systems TAM ($bn) (2)	$227.1	$237.5	$333.5	$505.5	$839.4	$1,327.3	$1,814.7	$2,231.1	$2,561.7	32%
YoY (%)		5%	40%	52%	66%	58%	37%	23%	15%	
Memory	$57.2	$30.2	$70.3	$110.0	$494.3	$766.0	$885.0	$1,090.6	$1,308.7	28%
DRAM (incl. HBM)	$37.5	$19.2	$45.5	$82.3	$362.1	$579.5	$681.7	$838.5	$1,006.3	29%

BofA Global Research, 9 October 2026, page10. AEC row is a market forecast; prose/table scope inconsistencies elsewhere on this page are not used as company revenue. Original exhibit, panel 1 of 2; read from top to bottom.

NAND	$19.7	$11.0	$24.8	$27.7	$132.3	$186.5	$203.2	$252.0	$302.4	23%
Memory % of DC (2)	*25%*	*13%*	*21%*	*22%*	*59%*	*58%*	*49%*	*49%*	*51%*	
AI Data Center Systems TAM ($bn)	$22.8	$61.7	$160.9	$278.3	$569.2	$1,026.1	$1,495.6	$1,889.6	$2,206.0	40%
YoY (%)		171%	161%	73%	105%	80%	46%	26%	17%	
AI % of Overall IT Spend (1)	0.5%	1.3%	3.2%	5.0%	8.9%	14.0%	18.3%	21.1%	22.6%	
AI % of Data Center Systems TAM (2)	10.0%	26.0%	48.3%	55.0%	67.8%	77.3%	82.4%	84.7%	86.1%	
AI Servers	$16.1	$48.9	$131.6	$228.2	$445.2	$805.5	$1,172.3	$1,470.2	$1,706.6	40%
AI CPUs (headnode + agentic) (excl-trad)	$1.0	$1.5	$5.1	$18.5	$42.4	$83.2	$114.4	$144.0	$180.4	44%
AI Accelerators	$14.3	$45.0	$120.2	$198.8	$382.4	$686.9	$1,008.5	$1,266.9	$1,460.5	40%
HBM	$1.6	$4.2	$17.4	$34.5	$77.4	$152.8	$198.9	$229.8	$276.9	38%
HBM (% of Accelerators)	*11%*	*9%*	*14%*	*17%*	*20%*	*22%*	*20%*	*18%*	*19%*	
Other (DDR/SSD/motherboard/power/etc.)	$0.8	$2.3	$6.3	$10.9	$20.4	$35.4	$49.4	$59.3	$65.6	34%
AI Networking	$5.6	$9.6	$21.2	$34.6	$95.6	$171.7	$252.1	$329.4	$394.3	43%
AI Switching (Back/Front-End) (incl. OCS)	$2.2	$3.8	$8.4	$12.5	$31.0	$60.1	$86.7	$128.3	$159.6	51%
AI SmartNIC	$0.9	$2.0	$3.3	$4.8	$23.7	$45.3	$71.9	$84.9	$96.2	42%
AI Connectivity/Other Networking	$2.5	$3.8	$9.5	$17.3	$41.2	$67.9	$98.9	$132.0	$163.3	41%
Optical	$1.9	$3.4	$8.6	$15.2	$35.8	$56.0	$75.2	$93.8	$111.1	33%
CPO	*$0.0*	*$0.0*	*$0.0*	*$0.0*	*$0.2*	*$0.9*	*$3.2*	*$9.4*	*$14.1*	*206%*
NPO	*$0.0*	*$0.0*	*$0.0*	*$0.0*	*$0.1*	*$0.6*	*$2.2*	*$6.4*	*$10.7*	*204%*
Electrical/Copper	$0.6	$0.4	$0.9	$2.1	$5.2	$10.3	$18.3	$22.4	$27.5	52%
DAC	*$0.5*	*$0.4*	*$0.6*	*$0.8*	*$1.3*	*$2.0*	*$2.6*	*$2.9*	*$3.2*	*25%*
ACC	*$0.0*	*$0.0*	*$0.0*	*$0.0*	*$0.4*	*$1.4*	*$2.5*	*$3.8*	*$7.4*	*110%*
AEC	*$0.1*	*$0.1*	*$0.2*	*$1.2*	*$3.5*	*$6.9*	*$13.2*	*$15.8*	*$16.9*	*49%*
AI Storage	$1.1	$3.2	$8.2	$15.5	$28.4	$48.9	$71.2	$90.0	$105.0	39%
Non-AI Data Center TAM ($bn)	$204.3	$175.8	$172.6	$227.3	$270.2	$301.2	$319.1	$341.6	$355.7	7%
YoY (%)		-14%	-2%	32%	19%	11%	6%	7%	4%	

Source: BofA Global Research estimates, Gartner, Mercury Research, IDC, LightCounting, 650 Group

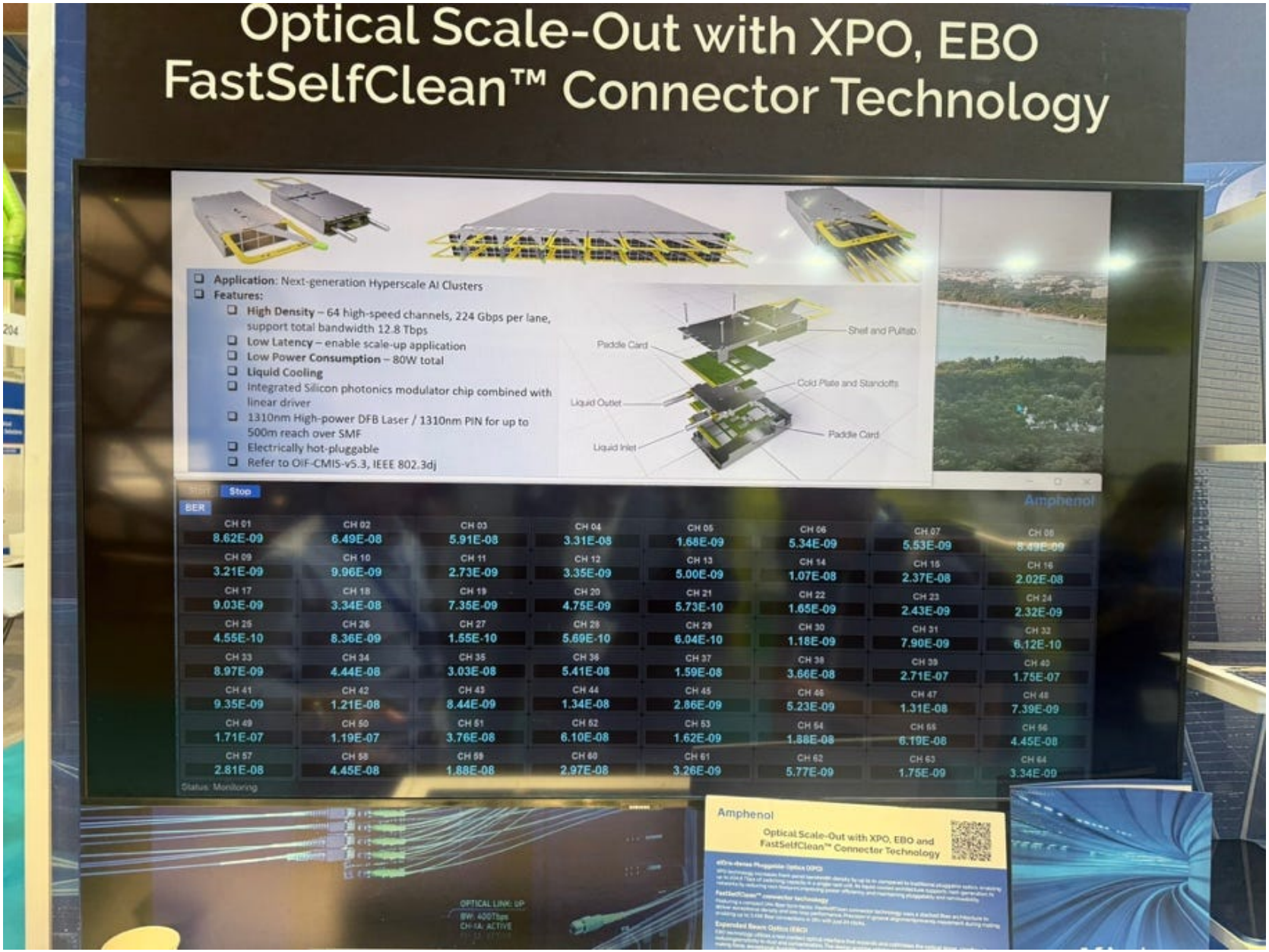
BofA GLOBAL RESEARCH

BofA Global Research, 9 October 2026, page10. AEC row is a market forecast; prose/table scope inconsistencies elsewhere on this page are not used as company revenue. Original exhibit, panel 2 of 2; read from top to bottom.

October 6 research assessment: optical engineering, no numerical increment

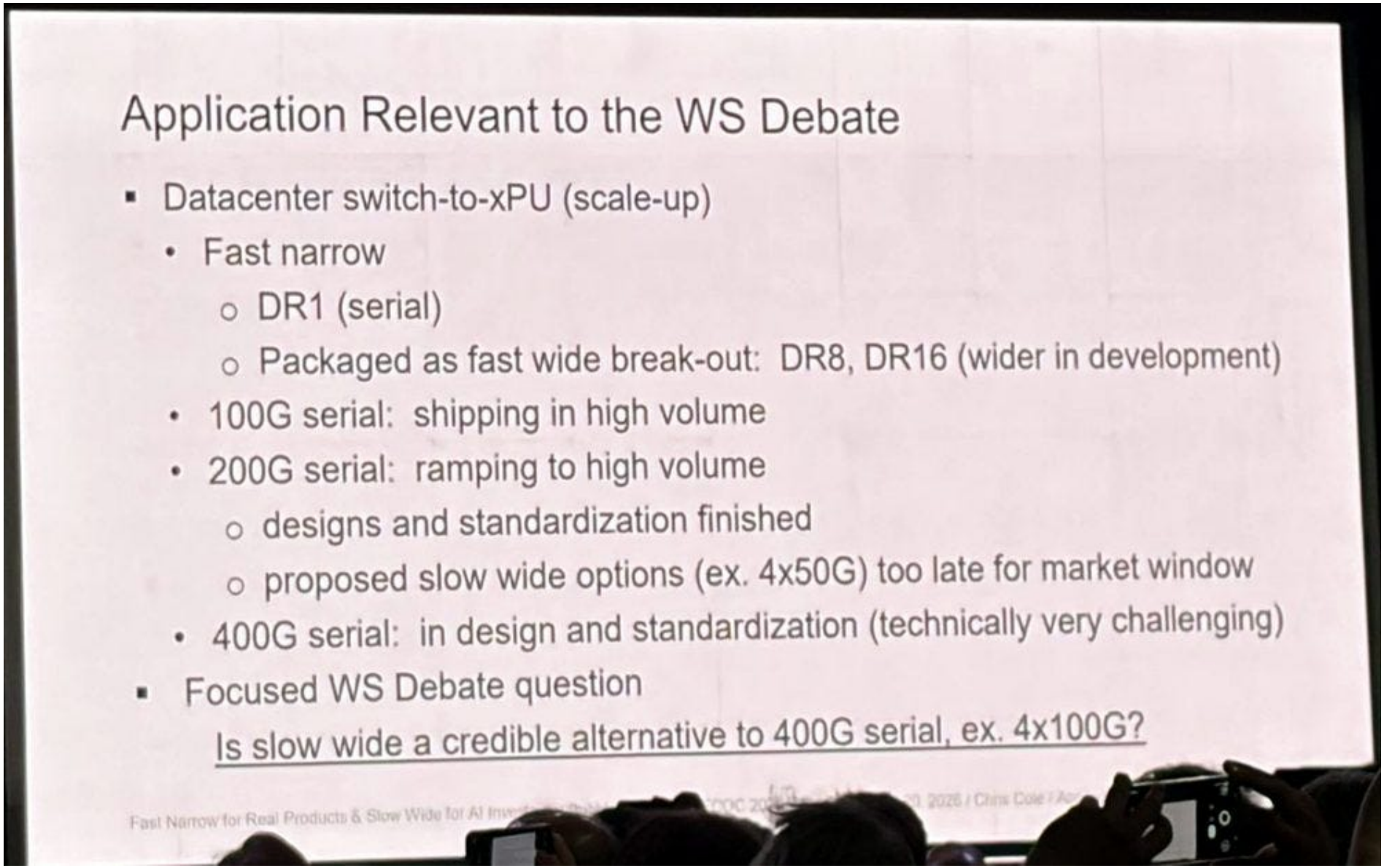
ALC/NPO are already in the model; commercial evidence is the next gate

The current artifact already contains FY2028 ALC revenue of approximately $52M and NPO revenue of $33M. The public ECOC excerpt adds architecture and timing evidence rather than a new order value. It ends at the opening Credo paragraph; no conclusion is inferred from the unavailable paid remainder.



Public ECOC figure 4: XPO bandwidth/implementation demonstration. Raw lane capacity and net payload are different measures; a demo is not commercial reliability validation.

A 64 × 224G raw-lane calculation is 14.336Tbps; that is not additive to a 12.8Tbps net module figure. Do not manufacture TAM from coding/overhead differences. Cable products with possible H2 2027 introduction, 2028/29 NPO and later package links have distinct launch/qualification curves.



Public ECOC figure 6: an alternative high-speed serial viewpoint. Architecture counter-evidence belongs beside the adoption thesis, not outside the model discussion.

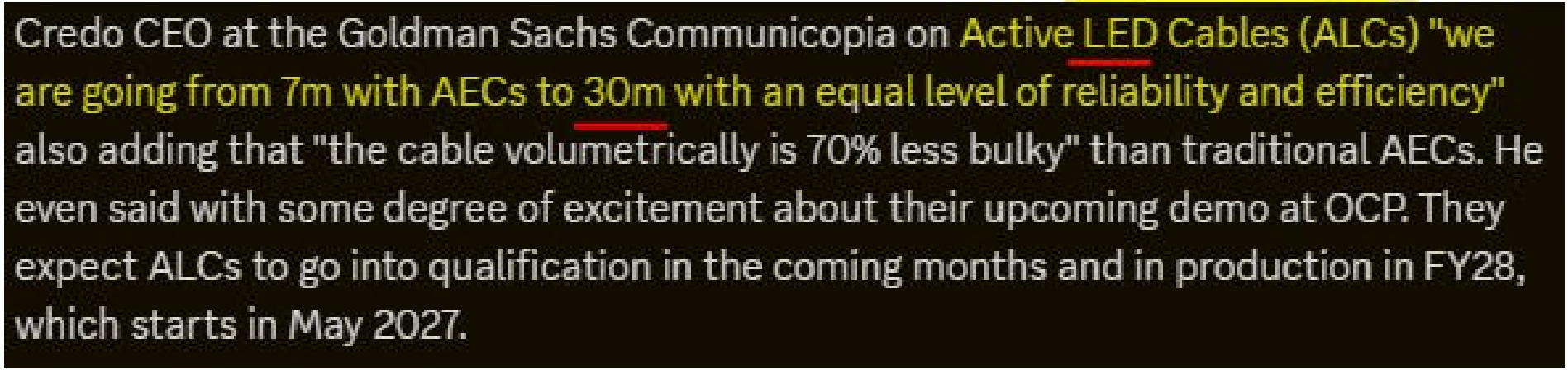
FUNDA public excerpt; Credo's April 30 microLED discussion describes a 10-30m target and coexistence of pluggable, NPO and CPO form factors. Power figures measured at emitters cannot be directly compared with full end-to-end links. The TrendForce $848M 2030 microLED CPO subset is neither all of Credo's ALC opportunity nor all optical interconnects.

Analytical Base: 75 → 75; protected Excel Base: 75 → 75. Keep the 25x OP company method. Existing ALC/NPO dollars already price adoption; the October 6 engineering batch supplies no incremental customer commitment, yield, ASP or production schedule to raise them. A new category point would over-credit feasibility evidence before commercial conversion.

Upgrade gates: paid customer design-in, device/engine/cable revenue ownership, samples to qualified shipment conversion, measured link reliability, connector/fiber costs and incremental gross margin. Check for substitution of existing AEC revenue before treating ALC as entirely additive. Preserve the existing ramp until those parameters support a specific change.

Engineering: the 30-metre microLED claim needs the right comparison

The September 14 Irrational Analysis memo argues that dispersion makes Credo's proposed 30m microLED reach implausible. It identifies a real design constraint, but its generic dispersion illustrations do not establish Credo's link limit. Credo's disclosed architecture divides bandwidth across many relatively slow NRZ optical channels and a fiber bundle. It is therefore inappropriate to assume each emitter must carry the entire aggregate cable rate, or to transfer the limits of a 200G serial optical lane directly to a microLED channel. [E-CRDO1, E-CRDO2]



Engineering exhibit sept14-l09. Saved source: (Market Memo) Qualcomm/Amazon, Apple C2 Modem, Credo uLED 30M Claim, Cerebras I/O Conspiracy Theory, 2026-09-14. Attribution and scope are discussed below.

Management's 30m/qualification discussion as reproduced in the September 14 article. This is a product and timing claim, not an independently measured field-reliability result.

Chromatic dispersion spreads a pulse because different wavelengths propagate at different speeds; modal dispersion can spread it because different guided paths have different delays. In a simplified linear approximation, chromatic pulse broadening scales with dispersion coefficient, spectral width and distance. The tolerable broadening depends on each channel's symbol period and receiver budget. Thus wavelength, emitter linewidth, fiber design, coupling, per-channel rate, temperature,

error rate and redundancy all matter. None of those unknowns can be replaced with an assertion that 30m is universally impossible. Equally, an issuer's product page cannot by itself establish production yield, full-temperature performance or multi-year field reliability.

Question	Necessary engineering evidence	Model consequence
Can the link achieve its claimed reach?	Full-rate test at stated distance, fiber, temperature, power and error criterion	Timing/capture of the exposed ALC product, not all Credo revenue
Can failed channels be tolerated?	Demonstrated failover, spare-channel budget and behavior under correlated failure	Real usable bandwidth and system reliability, including redundancy cost
Can it be manufactured economically?	Emitter/receiver array yield, assembly/test throughput and finished-cable cost	Accepted unit output, COGS, rework and warranty expense
Does the customer need that reach?	Qualified topology and cable-length mix	Eligible share of demand; shorter links may remain viable even if 30m is late

Probability, amount and overlap. The active ledger already gives ALC **60% commercialization confidence** and external NPO/CPO **70%**. It includes **$52M ALC sales in FY2028**, equivalent to an assumed 130,000 cables at $400, and **$33M external NPO/CPO sales**, equivalent to 33,000 $1,000 units. Their 65% gross-margin assumption implies $18.2M and $11.55M of product COGS respectively, before the explicit consolidated opex schedule. These unit/price/margin amounts are model assumptions, not disclosed orders. The confidence percentages describe the inherited converted paths; they must not be multiplied into them a second time.

The engineering critique adds an explicit validation checklist but no product-specific measurement that changes the existing launch or conversion estimate. The article's categorical failure inference is therefore not adopted as a new adverse outcome. Incremental revenue, COGS, opex and OP are zero, with the existing emerging-product timing risk retained once. This zero follows the claim's missing architecture parameters and overlap with an already recognized qualification risk; it does not require waiting for official confirmation when credible measured or customer evidence becomes available.

For scale, losing every modeled ALC sale in FY2028 would expose at most the existing $52M sales and $33.8M product gross profit before retained R&D, rework and other costs. That is a diagnostic exposure bound, not an additional probability-weighted deduction or a change to the saved forecast. A two-quarter slip must be handled as a dated shipment shift, with realistic cost persistence and any permanently lost demand distinguished from later revenue. A claim about 30m ALC does not establish failure of ZeroFlap modules, optical DSPs, PICs or shorter-reach AECs.

The broader article's Cerebras discussion is not a new Credo design win. A generic AXI interface, an assumed off-wafer I/O clock and a quoted total bandwidth do not identify a supplier invoice. The same is true of Qualcomm's announced Amazon collaboration: competitive relevance requires a matched product, customer socket, pricing and recognition period before changing Credo capture. No entire competing optical TAM is subtracted.

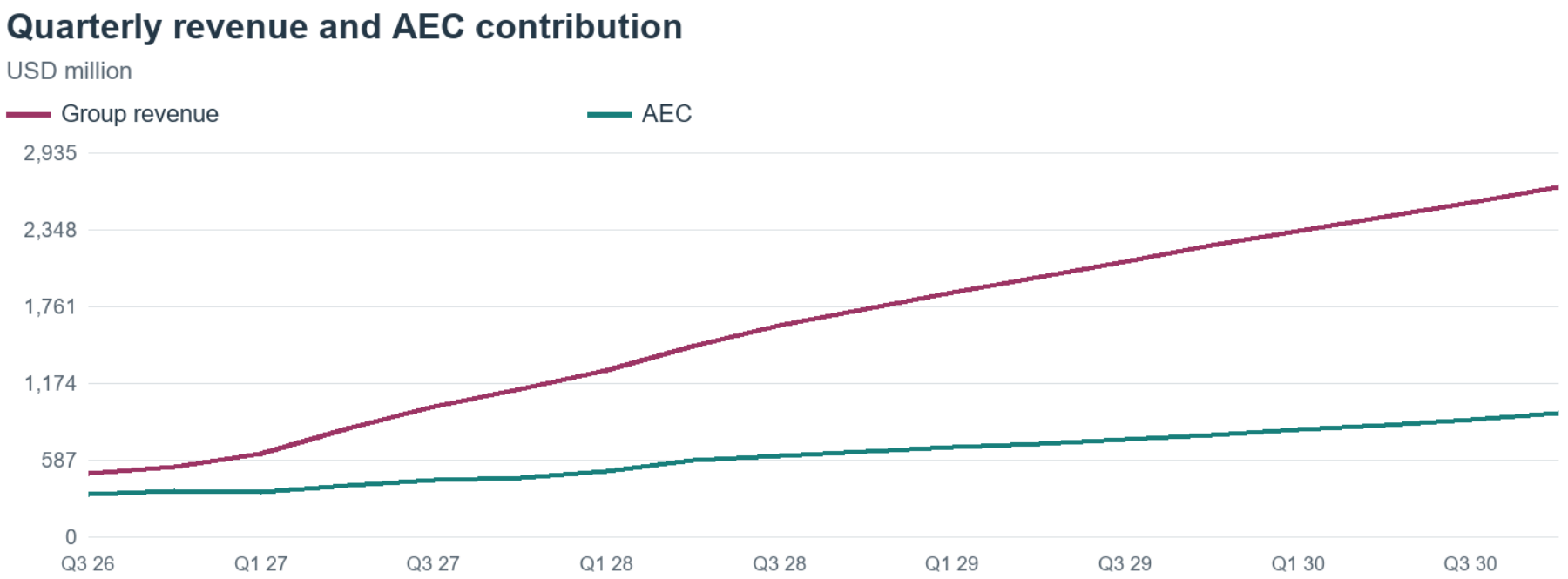
The separate October 11 AEC update brings the active **Q4 2027 price target to $375.072816**, using the sanctioned **25x forward non-GAAP operating profit**, 209.5M shares and the same quarter convention. Analytical and Excel Base remain 75. The next useful catalyst is a detailed customer qualification or link demonstration with the operating conditions above, followed by accepted production units and costs.

Engineering sources, reviewed October 6, 2026: E-CRDO1: Irrational Analysis, September 14, full body and all 20 image elements reviewed. E-CRDO2: Credo architecture explanation, April 22. E-CRDO3: Credo form-factor discussion, April 30. Management marketing and independent author criticism are labeled separately; neither is treated as measured high-volume customer reliability.

Visual model dashboard - active core

All forward values are model assumptions. Chart tables use the unrounded active model. Quarter labels identify fiscal reporting buckets: Q3 2026 is FQ1 FY2027, Q4 is FQ2, Q1 2027 is FQ3 and Q2 is FQ4. They do not represent literal calendar-month results. The active valuation horizon is Q4 2027; older Q3 2027 diagnostic charts below retain their labeled comparison period and do not change the active target. “Source scenario” is an optional, unweighted sensitivity for review, not an adopted case.

Revenue and AEC contribution

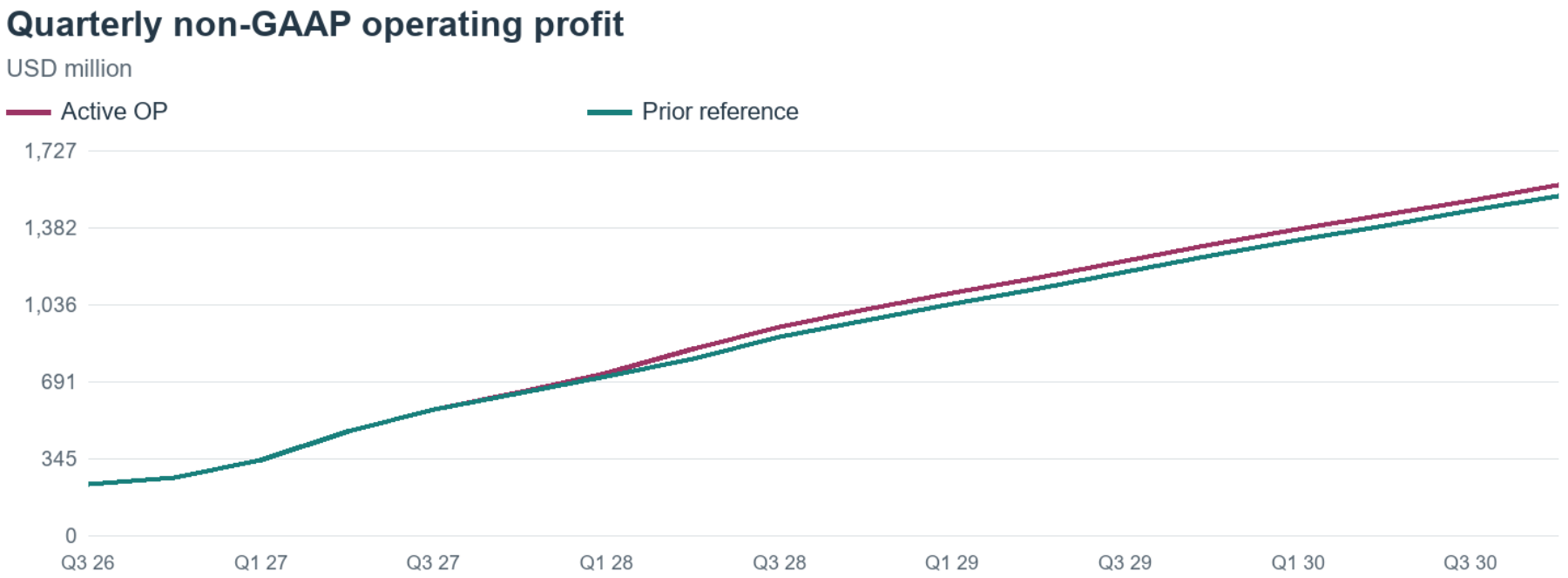


Quarterly revenue and AEC contribution | Active model 11 October 2026; assumptions, not guidance.

Reporting-quarter label	Consolidated revenue USD M	Active AEC revenue USD M
Q3 2026	479.003	325.003
Q4 2026	530.000	350.000
Q1 2027	636.000	339.200

Reporting-quarter label	Consolidated revenue USD M	Active AEC revenue USD M
Q2 2027	826.800	390.995
Q3 2027	996.447	428.447
Q4 2027	1,125.039	452.039
Q1 2028	1,270.641	501.641
Q2 2028	1,455.407	581.407
Q3 2028	1,610.422	613.422
Q4 2028	1,741.200	647.200
Q1 2029	1,864.885	679.885
Q2 2029	1,980.260	706.260
Q3 2029	2,101.318	740.318
Q4 2029	2,225.251	776.251
Q1 2030	2,339.162	814.162
Q2 2030	2,447.162	854.162
Q3 2030	2,556.364	896.364
Q4 2030	2,667.889	940.889

Operating profit path

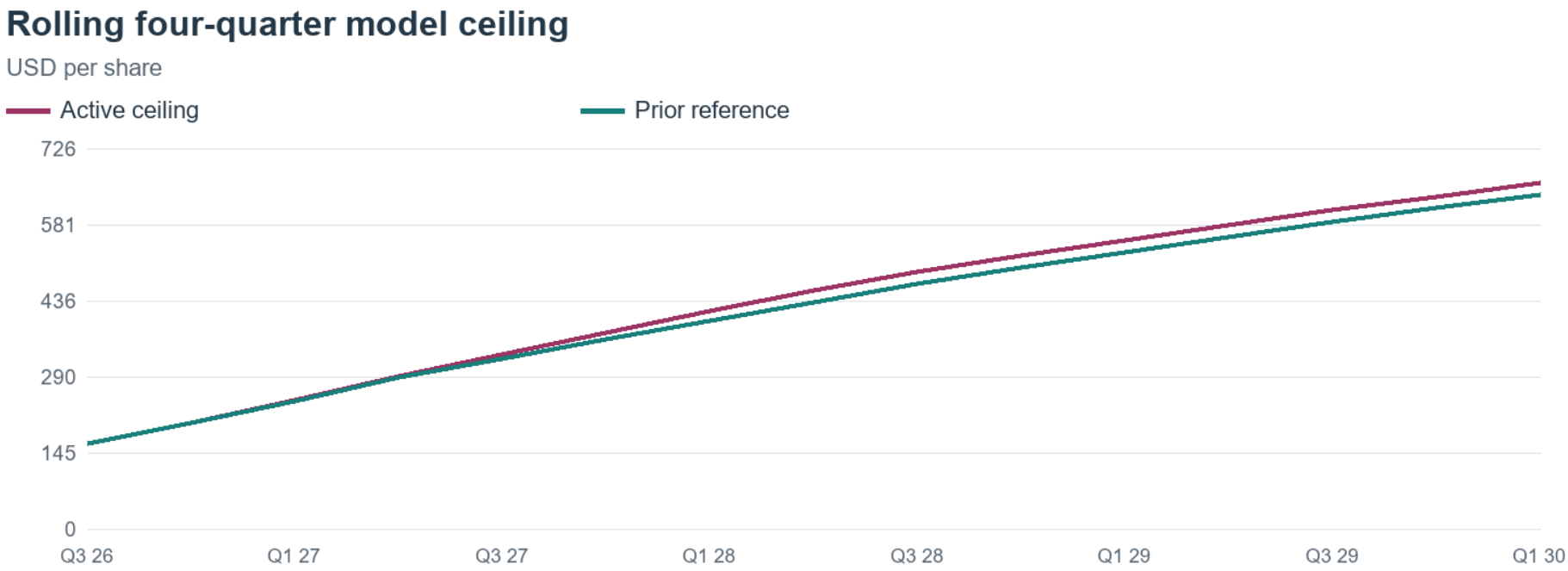


Quarterly non-GAAP operating profit | Active model 11 October 2026; assumptions, not guidance.

Reporting-quarter label	Core operating profit	OP margin %
Q3 2026	230.641	48.15%
Q4 2026	257.900	48.66%
Q1 2027	337.133	53.01%
Q2 2027	465.434	56.29%
Q3 2027	565.396	56.74%
Q4 2027	642.502	57.11%
Q1 2028	728.333	57.32%
Q2 2028	836.134	57.45%

Reporting-quarter label	Core operating profit	OP margin %
Q3 2028	936.142	58.13%
Q4 2028	1,014.910	58.29%
Q1 2029	1,088.577	58.37%
Q2 2029	1,157.203	58.44%
Q3 2029	1,230.055	58.54%
Q4 2029	1,305.738	58.68%
Q1 2030	1,374.779	58.77%
Q2 2030	1,439.159	58.81%
Q3 2030	1,503.960	58.83%
Q4 2030	1,570.039	58.85%

Rolling four-quarter price target



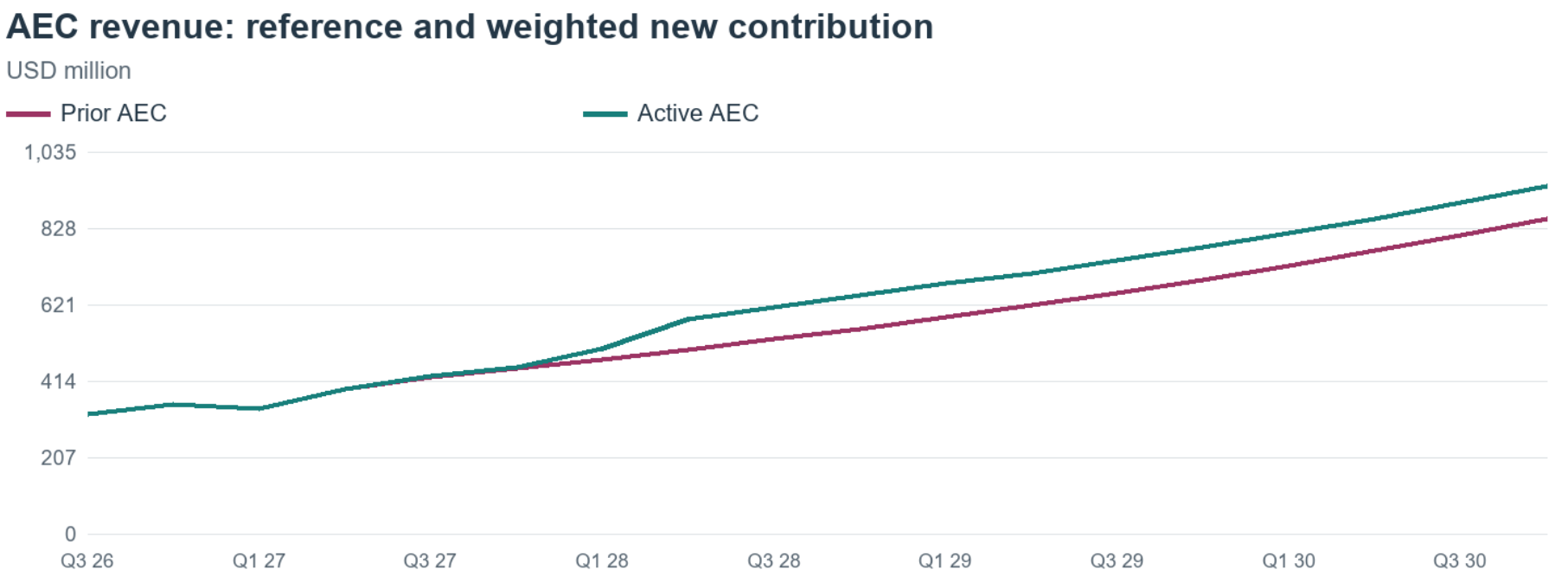
Rolling four-quarter model ceiling | Active model 11 October 2026; assumptions, not guidance.

Reporting-quarter label	Core price target
Q3 2026	163.427
Q4 2026	203.233
Q1 2027	245.179
Q2 2027	290.758
Q3 2027	333.217
Q4 2027	375.073
Q1 2028	416.531
Q2 2028	455.972

Reporting-quarter label	Core price target
Q3 2028	490.284
Q4 2028	520.968
Q1 2029	550.872
Q2 2029	579.837
Q3 2029	607.924
Q4 2029	634.722
Q1 2030	660.083

All displayed active windows have positive modeled operating profit. Historical source scenarios are separate diagnostics and are not combined with the active October 11 AEC case.

AEC revenue: reference and weighted contribution



AEC revenue: reference and weighted new contribution | Active model 11 October 2026; assumptions, not guidance.

Reporting-quarter label	Reference AEC USD M	Weighted increment USD M	Active AEC USD M
Q3 2026	325.003	0.000	325.003
Q4 2026	350.000	0.000	350.000
Q1 2027	339.200	0.000	339.200
Q2 2027	390.995	0.000	390.995
Q3 2027	425.000	3.447	428.447
Q4 2027	448.402	3.637	452.039
Q1 2028	473.094	28.548	501.641
Q2 2028	499.144	82.263	581.407

Reporting-quarter label	Reference AEC USD M	Weighted increment USD M	Active AEC USD M
Q3 2028	526.629	86.792	613.422
Q4 2028	555.628	91.572	647.200
Q1 2029	586.224	93.661	679.885
Q2 2029	618.504	87.756	706.260
Q3 2029	652.561	87.756	740.318
Q4 2029	688.494	87.756	776.251
Q1 2030	726.406	87.756	814.162
Q2 2030	766.405	87.756	854.162
Q3 2030	808.607	87.756	896.364
Q4 2030	853.133	87.756	940.889

Complete price target reconciliation

price target quarter	Exact OP window	Forward 4Q economic OP	Multiple	Shares M	Unit/FX factor	Core price target
Q3 2026	Q3 2026 to Q2 2027	1,291.107879	25x	197.505000	1.00	163.427240
Q4 2026	Q4 2026 to Q3 2027	1,625.862786	25x	200.000000	1.00	203.232848
Q1 2027	Q1 2027 to Q4 2027	2,010.464443	25x	205.000000	1.00	245.178591
Q2 2027	Q2 2027 to Q1 2028	2,401.664430	25x	206.500000	1.00	290.758406
Q3 2027	Q3 2027 to Q2 2028	2,772.364118	25x	208.000000	1.00	333.216841
Q4 2027	Q4 2027 to Q3 2028	3,143.110197	25x	209.500000	1.00	375.072816
Q1 2028	Q1 2028 to Q4 2028	3,515.518334	25x	211.000000	1.00	416.530608
Q2 2028	Q2 2028 to Q1 2029	3,875.762253	25x	212.500000	1.00	455.972030
Q3 2028	Q3 2028 to Q2 2029	4,196.831533	25x	214.000000	1.00	490.284058
Q4 2028	Q4 2028 to Q3 2029	4,490.744312	25x	215.500000	1.00	520.968018
Q1 2029	Q1 2029 to Q4 2029	4,781.572457	25x	217.000000	1.00	550.872403
Q2 2029	Q2 2029 to Q1 2030	5,067.775114	25x	218.500000	1.00	579.836970
Q3 2029	Q3 2029 to Q2 2030	5,349.731032	25x	220.000000	1.00	607.923981
Q4 2029	Q4 2029 to Q3 2030	5,623.636231	25x	221.500000	1.00	634.721922
Q1 2030	Q1 2030 to Q4 2030	5,887.937361	25x	223.000000	1.00	660.082664

Price target = sum of four quarterly Credo non-GAAP operating profits x 25 / the target quarter's diluted-share denominator. Credo has no minority allocation in this model. These are operating-profit targets; tax, financing and a cash/enterprise-value adjustment are not silently substituted. The recurring SBC exclusion remains material.

Full investment analysis

The sections below preserve the original earnings calibration, vector build, cost and share assumptions, risks and sources, with the evidence corrections described above. No new earnings period is implied by the evidence-review date.

Original financial calibration: 17 September 2026 | **Current model update:** 11 October 2026 | **Framework:** 8.0 | **Format:** standalone current-state analysis **Status:** NOT HELD in supplied original; protected portfolio Base 75 retained | **Classification:** BOTTLENECK: qualified copper/optical connectivity and reliability software **Artifact Base:** 45/60 = **75% - High Conviction** | **Protected portfolio Base:** 75% (current saved Excel Base; separate from artifact assessment) **Snapshot:**

supplied-workbook price USD 249.890; model share proxy 197.505000M; implied snapshot market capitalization 49,354.524 USD millions. Price is frozen from the supplied workbook, not a current-market refresh; capitalization uses the modeled denominator. **Active price target:** Q4 2027 **USD 375.072816**, pricing Q4 2027-Q3 2028. The quarterly targets below incorporate the October 11 AEC case; valuation and share conventions are unchanged.

Credo addresses a larger set of AI connectivity problems as it moves from copper links into optical systems, optical silicon and memory fan-out. The expanded market can support growth beyond its present scale. Reliability and qualification turn that opportunity into a defensible customer proposition; production execution, capture and dilution decide its per-share value.

1. Supercycle, supply chain and durable advantage

Credo sells connectivity and reliable links across multiple reaches. Its qualification process and software can reduce deployment disruption, but customers can select competing copper and optical architectures. AECs are scaled; ZeroFlap and PICs are at an earlier ramp; ALC, NPO and memory fan-out are later options. Each is modeled as an external sale. A DSP or PIC inside a Credo module is part of that module cost and is not counted again as external component revenue.

DB1 photonics and DB10 inference infrastructure: accelerator/switch deployments → link count, reach and bandwidth → SerDes, retimers, optical DSP/PIC and complete connectivity products → foundry, laser and contract-manufacturing supply. Credo owns differentiated design, firmware and qualification work while using external production. Replacement requires system qualification and software integration, supporting BOTTLENECK classification, but does not require replacing an irreplaceable physical monopoly. Copper, laser optics and microLED can coexist across reaches; their full TAMs cannot all be applied to the same connection.

Business / curve	Stage	Evidence and next inflection
AEC	Scaled ramp;10-50% qualitative band	Customer penetration and higher bandwidth remain opportunities despite the larger base.
ZeroFlap and optical components	Early commercial ramp	Production and new 1.6T products increase invoice content; broad adoption is still ahead.
ALC and memory fan-out	Pre-ramp 0-10%	FY28 conversion is modeled; market size does not establish awarded share.
CPO/NPO systems	Pre-ramp 0-10%	New form factors create design sockets with separate qualification schedules.

Stage percentages are qualitative framework bands relative to a possible mature opportunity, not measured market penetration. A current capacity constraint can coexist with a larger long-term TAM; qualification and economic capture decide how much reaches this company.

2. Forward TAM and the three-phase expansion lens

Phase	Engineering opportunity	Demand-to-company bridge
Phase 1 - existing demand;100% thematic	Short-reach links, optical modules and retimers	Customer deployment growth drives physical links; primary market forecasts provide an expanding unit envelope. Current sales anchor the calculation; they do not cap future demand.
Phase 2 - adjacent products;50% thematic	1.6T optics, vertically integrated optical systems, new memory-fanout content	The September 15 launch supplies product evidence. Cignal AI's 1.6T forecast is a subset of the wider optical-link market, not an additional market to sum with it. Model captures net external invoices.
Phase 3 - new architectures;20% thematic	ALC/microLED scale-up, NPO/CPO and later-generation memory fabrics	Several future product families compete for related links. The model assigns one revenue boundary per vector and explicit conversion assumptions; a multi-billion-dollar opportunity is not equal to booked company revenue.

The 100% / 50% / 20% thematic weights guide thesis assessment. They are not blanket discounts to reported sales, contracts or all forecasts. Programme probabilities below govern only separately identified optionality. Current reported sales calibrate the starting point; they do not cap the future market.

3. Current earnings and management evidence

FQ1 FY2027, ended August 1 and reported September 1, generated revenue USD 479.003M, non-GAAP GP 325.795M, non-GAAP opex 95.154M and non-GAAP OP 230.641M. GAAP OP was 120.700M and SBC87.979M: the valuation basis is explicitly non-GAAP. Non-GAAP diluted shares were 197.505M. FQ2 revenue guidance was 525-535M, GM 67-69%, opex 100-105M and shares about 200M. The midpoint is a model, not an actual.

Full prepared remarks and Q&A were read for the 1 September FQ1FY2027 call,1 June FQ4FY2026 call and 10 September Goldman discussion. The CFO described about 20% sequential growth into FQ3 and 30% into FQ4, with a 1B quarter in sight early FY2028. Management expects an expanding optical production rate and enduring AEC growth. These are execution expectations, not a fixed multiyear sales contract. Automated transcript product-name errors were reconciled with issuer releases.

Prepared remarks and full Q&A for the two latest earnings calls and the newer conference were read. Remaining gaps concern undisclosed product sales, margins, detailed unit capacity, realized ASP and future customer allocation; no claim is made that those forecasts are company guidance. Automated transcript names/units are checked against issuer product releases.

4. Local evidence and calibration packet

Issuer financial results establish 479.003M revenue and 325.795M adjusted GP. The first row reproduces both exactly;95.154M expenses yield 230.641M adjusted OP. This is an actual consolidated calibration with estimated product splits. FQ2 midpoints 530M/68%/102.5M yield 257.9M OP. The direct billing-customer concentrations in the 10-Q differ from end-customer concentrations discussed on the call; they are different views and not additive. Product-level actual sales and costs remain undisclosed.

5. Summing thesis score

Category	Points / maximum	Evidence
Core thesis	17/20	System qualification, SerDes and telemetry differentiate the portfolio; no sole-source monopoly.
Cycle stage	10/10	Reported growth and optics entering production confirm the ramp.
TAM expansion	9/10	Copper, optical, memory fan-out and new form factors address additional sockets.
Catalysts	5/5	FY2027 optical ramp and FY2028 ALC/OmniConnect/NPO launches.
Macro	8/10	AI interconnect intensity supports demand, with concentrated capex exposure.
Alpha	1/5	Well-followed company; edge rests in timing and avoiding double counting.
Risks	-5	Concentration, competition, optical execution, emerging-product delays and SBC/dilution.

Sum: 45/60 × 100 = 75.000000%, conventionally rounded to 75%. This advisory thesis score does not replace any portfolio Base override. The separate risk classes below total the displayed deduction; holding status and classification do not waive that deduction.

6. Revenue sources, capture and product margins

Fiscal-quarter-end mapping: Q3 2026=FQ1FY2027 (August 1), Q4 2026=FQ2, Q1 2027=FQ3, Q2 2027=FQ4. Each row is a fiscal reporting period bucket, not literal calendar-month results. Eight external-sale vectors sum to reported/guided consolidated revenue. First-two-quarter product splits and balancing AEC GMs are estimates calibrated to consolidated GP. FQ3/FQ4 totals 636/826.8M follow the CFO directional cadence. All later product quantities and GMs are conditional assumptions. The reference AEC exit 2030 demand bridge, before the separately weighted October 11 case, is 2.916667× link-volume index ×0.90 realized price/mix ×1.00 relative capture =2.625× the initial AEC anchor. The volume index uses the 60→175M optical-transceiver industry trajectory as an explicit proxy for growth in short-reach connections; it is not a published AEC shipment forecast. From FQ1FY2028 the reference AEC path transitions geometrically to that endpoint; the active path adds the separately weighted October 11 residual. ZeroFlap follows the separate product-production curve, with components consumed internally excluded from external DSP/PIC sales. Product margins are independently specified before opex. Additional 15% cash operating-cost absorption is applied to the increased AEC revenue above the earlier dollar investment schedule; this is an analyst spending assumption. Future shares include a full-award/contingent-issuance allowance, with disclosed dilution sensitivity.25×non-GAAP OP is the price target convention.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
AEC	325.003M first-quarter allocation; total-company calibration only.	The 2.625×exit index assumes unchanged relative capture of an expanding short-reach link wallet and 10% net ASP erosion. This implies reference quarterly sales 853.133M at exit 2030; the active path adds the new weighted case shown in V1. Global optical-unit growth is a proxy; a changing short/long-reach mix is the principal sensitivity.	70% mature product GM; first two balancing GMs fit actual/guide. Proprietary silicon, firmware and system ownership support premium economics, but 70% is not disclosed product guidance.
Retimers	90M initial allocation.	Ethernet/UALink/PCIe adoption;198M exit quarterly sales at assumed 60-dollar ASP implies 3.3M chip equivalents. Both unit mix and price are analyst assumptions.	72% proxy; weighted wafer/test/package costs equal 28% of product revenue.
ZeroFlap modules	20M initial allocation; explicit external module invoice.	FY2028 sales 1.2B;400M exit quarter versus 158.155M FY2027 exit. At assumed 300-dollar ASP, monthly units rise 175,728→444,444, a 2.53×rate. Actual ASP/production mix could alter the revenue conversion.	64% proxy means 108-dollarcost at 300-dollar ASP. Includes internally used DSP/PIC, external laser and assembly; those internal components create no second sale.
External optical DSP	24M initial allocation.	158M quarterly exit revenue at assumed 50-dollar ASP implies 3.16M external chip equivalents. Customer module production and design capture are required; internal ZeroFlap consumption is eliminated.	75% non-GAAP proxy; foundry/test yield remains a margin risk.
External PIC	20M initial allocation.	178M exit quarter at assumed 50-dollar ASP implies 3.56M external chip equivalents. Current design wins support direction; the quantity is a capture scenario.	73% non-GAAP proxy; acquisition amortization/SBC treatment differs from GAAP.
ALC/microLED	Zero initial revenue;FY28 launch assumption.	FY28 model 52M at assumed 400-dollarcable ASP implies 130,000 converted cable equivalents. FY30 model 310M implies 775,000. No separate production-order quantity has been disclosed.	65% proxy means 140-dollarunitcost at 400-dollar ASP; immature yield makes this LOW confidence.

Vector	Actual calibration / source	Forward demand and capture	Margin derivation / constraint
Weaver/OmniConnect	Zero initial revenue; customer programme and content evidence.	Using 2,500-dollarcontent per accelerator within management's 2,000-3,000 range, FY28 model 195M implies 78,000 converted accelerators;FY30 model 890M implies 356,000. These are assumed aggregate deployments, not disclosed Positron orders.	75% proxy; combines gearbox/IP wallet without separately adding duplicate royalty revenue.
CPO/NPO external sales	Initial zero;FY28 qualification-to-production assumption.	FY28 model 33M at assumed 1,000-dollarnet optical-engine equivalent implies 33,000 units;FY30 model 222M implies 222,000. Boundary includes only external invoices outside V3-V5.	65% proxy includes acquired silicon and assembly costs; scope/ASP undisclosed.

Confidence: reported historical totals are HIGH. Source-based forward extrapolations are MEDIUM only where the cited source sizes the relevant period; other product allocations, future capture and margin assumptions are LOW. A source for the historical anchor does not make an unsourced future factor management guidance. The detailed factors below are the single modeled base case, with uncertain assumptions exposed for review.

V1. AEC

The earlier optical-volume proxy remains the reference. The separate 30% case below adds only net AEC sales beyond that reference, after calendar alignment. Net capture is assumed at 25%, not disclosed market share; embedded retimers are not sold twice. 70% AEC gross margin is retained.

Quarter	Revenue anchor	Active conversion factor	Active AEC revenue	Product GM	GP
Q3 2026	325.003000	1.000000	325.003	66.336%	215.595
Q4 2026	325.003000	1.076913	350.000	66.160%	231.560
Q1 2027	325.003000	1.043683	339.200	70.000%	237.440
Q2 2027	325.003000	1.203049	390.995	70.000%	273.696
Q3 2027	325.003000	1.318287	428.447	70.000%	299.913
Q4 2027	325.003000	1.390878	452.039	70.000%	316.428
Q1 2028	325.003000	1.543498	501.641	70.000%	351.149
Q2 2028	325.003000	1.788928	581.407	70.000%	406.985

Quarter	Revenue anchor	Active conversion factor	Active AEC revenue	Product GM	GP
Q3 2028	325.003000	1.887434	613.422	70.000%	429.395
Q4 2028	325.003000	1.991365	647.200	70.000%	453.040
Q1 2029	325.003000	2.091934	679.885	70.000%	475.919
Q2 2029	325.003000	2.173088	706.260	70.000%	494.382
Q3 2029	325.003000	2.277880	740.318	70.000%	518.222
Q4 2029	325.003000	2.388442	776.251	70.000%	543.376
Q1 2030	325.003000	2.505092	814.162	70.000%	569.914
Q2 2030	325.003000	2.628166	854.162	70.000%	597.913
Q3 2030	325.003000	2.758016	896.364	70.000%	627.454
Q4 2030	325.003000	2.895017	940.889	70.000%	658.622

V2. Retimers

Sources: CRDO-1/2/3; product allocation and adoption assumptions. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	90.000000	1.000000	90.000	72.000%	64.800
Q4 2026	90.000000	1.055556	95.000	72.000%	68.400
Q1 2027	90.000000	1.177778	106.000	72.000%	76.320
Q2 2027	90.000000	1.386298	124.767	72.000%	89.832
Q3 2027	90.000000	1.733333	156.000	72.000%	112.320
Q4 2027	90.000000	1.777778	160.000	72.000%	115.200
Q1 2028	90.000000	1.833333	165.000	72.000%	118.800
Q2 2028	90.000000	1.877778	169.000	72.000%	121.680
Q3 2028	90.000000	1.922222	173.000	72.000%	124.560

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q4 2028	90.000000	1.966667	177.000	72.000%	127.440
Q1 2029	90.000000	2.000000	180.000	72.000%	129.600
Q2 2029	90.000000	2.033333	183.000	72.000%	131.760
Q3 2029	90.000000	2.066667	186.000	72.000%	133.920
Q4 2029	90.000000	2.100000	189.000	72.000%	136.080
Q1 2030	90.000000	2.122222	191.000	72.000%	137.520
Q2 2030	90.000000	2.155556	194.000	72.000%	139.680
Q3 2030	90.000000	2.177778	196.000	72.000%	141.120
Q4 2030	90.000000	2.200000	198.000	72.000%	142.560

V3. ZeroFlap external module sales

Sources: CRDO-2/3/4/6; production-rate proxy and assumedASP. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	20.000000	1.000000	20.000	64.000%	12.800
Q4 2026	20.000000	1.250000	25.000	64.000%	16.000
Q1 2027	20.000000	4.452000	89.040	64.000%	56.986
Q2 2027	20.000000	7.907758	158.155	64.000%	101.219
Q3 2027	20.000000	10.000000	200.000	64.000%	128.000
Q4 2027	20.000000	13.500000	270.000	64.000%	172.800
Q1 2028	20.000000	16.500000	330.000	64.000%	211.200
Q2 2028	20.000000	20.000000	400.000	64.000%	256.000
Q3 2028	20.000000	22.000000	440.000	64.000%	281.600
Q4 2028	20.000000	24.000000	480.000	64.000%	307.200

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q1 2029	20.000000	26.000000	520.000	64.000%	332.800
Q2 2029	20.000000	28.000000	560.000	64.000%	358.400
Q3 2029	20.000000	29.500000	590.000	64.000%	377.600
Q4 2029	20.000000	31.000000	620.000	64.000%	396.800
Q1 2030	20.000000	32.500000	650.000	64.000%	416.000
Q2 2030	20.000000	34.000000	680.000	64.000%	435.200
Q3 2030	20.000000	35.500000	710.000	64.000%	454.400
Q4 2030	20.000000	37.000000	740.000	64.000%	473.600

V4. External optical DSP sales

Sources: CRDO-2/3; external-only component sales and capture. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	24.000000	1.000000	24.000	75.000%	18.000
Q4 2026	24.000000	1.333333	32.000	75.000%	24.000
Q1 2027	24.000000	2.296667	55.120	75.000%	41.340
Q2 2027	24.000000	3.294899	79.078	75.000%	59.308
Q3 2027	24.000000	3.333333	80.000	75.000%	60.000
Q4 2027	24.000000	3.541667	85.000	75.000%	63.750
Q1 2028	24.000000	3.750000	90.000	75.000%	67.500
Q2 2028	24.000000	3.958333	95.000	75.000%	71.250
Q3 2028	24.000000	4.375000	105.000	75.000%	78.750
Q4 2028	24.000000	4.666667	112.000	75.000%	84.000
Q1 2029	24.000000	4.916667	118.000	75.000%	88.500

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q2 2029	24.000000	5.208333	125.000	75.000%	93.750
Q3 2029	24.000000	5.500000	132.000	75.000%	99.000
Q4 2029	24.000000	5.791667	139.000	75.000%	104.250
Q1 2030	24.000000	6.000000	144.000	75.000%	108.000
Q2 2030	24.000000	6.166667	148.000	75.000%	111.000
Q3 2030	24.000000	6.375000	153.000	75.000%	114.750
Q4 2030	24.000000	6.583333	158.000	75.000%	118.500

V5. External SiPho PIC sales

Sources: CRDO-2/5; external-only PIC allocation. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	20.000000	1.000000	20.000	73.000%	14.600
Q4 2026	20.000000	1.400000	28.000	73.000%	20.440
Q1 2027	20.000000	2.332000	46.640	73.000%	34.047
Q2 2027	20.000000	3.690287	73.806	73.000%	53.878
Q3 2027	20.000000	4.300000	86.000	73.000%	62.780
Q4 2027	20.000000	4.800000	96.000	73.000%	70.080
Q1 2028	20.000000	5.300000	106.000	73.000%	77.380
Q2 2028	20.000000	5.800000	116.000	73.000%	84.680
Q3 2028	20.000000	6.250000	125.000	73.000%	91.250
Q4 2028	20.000000	6.600000	132.000	73.000%	96.360
Q1 2029	20.000000	6.900000	138.000	73.000%	100.740
Q2 2029	20.000000	7.250000	145.000	73.000%	105.850

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2029	20.000000	7.600000	152.000	73.000%	110.960
Q4 2029	20.000000	7.950000	159.000	73.000%	116.070
Q1 2030	20.000000	8.200000	164.000	73.000%	119.720
Q2 2030	20.000000	8.400000	168.000	73.000%	122.640
Q3 2030	20.000000	8.650000	173.000	73.000%	126.290
Q4 2030	20.000000	8.900000	178.000	73.000%	129.940

V6. ALC / microLED

Sources: CRDO-2/3/4; customer qualification, assumed units/ASP. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	10.000000	0.000000	0.000	65.000%	0.000
Q4 2026	10.000000	0.000000	0.000	65.000%	0.000
Q1 2027	10.000000	0.000000	0.000	65.000%	0.000
Q2 2027	10.000000	0.000000	0.000	65.000%	0.000
Q3 2027	10.000000	1.000000	10.000	65.000%	6.500
Q4 2027	10.000000	1.200000	12.000	65.000%	7.800
Q1 2028	10.000000	1.400000	14.000	65.000%	9.100
Q2 2028	10.000000	1.600000	16.000	65.000%	10.400
Q3 2028	10.000000	3.200000	32.000	65.000%	20.800
Q4 2028	10.000000	4.000000	40.000	65.000%	26.000
Q1 2029	10.000000	4.800000	48.000	65.000%	31.200
Q2 2029	10.000000	5.500000	55.000	65.000%	35.750
Q3 2029	10.000000	6.500000	65.000	65.000%	42.250

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q4 2029	10.000000	7.400000	74.000	65.000%	48.100
Q1 2030	10.000000	8.200000	82.000	65.000%	53.300
Q2 2030	10.000000	8.900000	89.000	65.000%	57.850
Q3 2030	10.000000	9.500000	95.000	65.000%	61.750
Q4 2030	10.000000	10.100000	101.000	65.000%	65.650

V7. Weaver / OmniConnect

Sources: CRDO-2/3; content per accelerator and assumed converted deployments. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	10.000000	0.000000	0.000	75.000%	0.000
Q4 2026	10.000000	0.000000	0.000	75.000%	0.000
Q1 2027	10.000000	0.000000	0.000	75.000%	0.000
Q2 2027	10.000000	0.000000	0.000	75.000%	0.000
Q3 2027	10.000000	3.000000	30.000	75.000%	22.500
Q4 2027	10.000000	4.200000	42.000	75.000%	31.500
Q1 2028	10.000000	5.500000	55.000	75.000%	41.250
Q2 2028	10.000000	6.800000	68.000	75.000%	51.000
Q3 2028	10.000000	10.000000	100.000	75.000%	75.000
Q4 2028	10.000000	12.500000	125.000	75.000%	93.750
Q1 2029	10.000000	14.800000	148.000	75.000%	111.000
Q2 2029	10.000000	16.800000	168.000	75.000%	126.000
Q3 2029	10.000000	19.000000	190.000	75.000%	142.500
Q4 2029	10.000000	21.500000	215.000	75.000%	161.250

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q1 2030	10.000000	23.500000	235.000	75.000%	176.250
Q2 2030	10.000000	25.000000	250.000	75.000%	187.500
Q3 2030	10.000000	26.400000	264.000	75.000%	198.000
Q4 2030	10.000000	27.800000	278.000	75.000%	208.500

V8. CPO / NPO external sales

Sources: CRDO-2/3; design wins and assumed net invoice content. Revenue = anchor × factor; GP/contribution = revenue × displayed product margin. Forecast confidence: LOW unless a specific actual/guided total is identified above.

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q3 2026	10.000000	0.000000	0.000	65.000%	0.000
Q4 2026	10.000000	0.000000	0.000	65.000%	0.000
Q1 2027	10.000000	0.000000	0.000	65.000%	0.000
Q2 2027	10.000000	0.000000	0.000	65.000%	0.000
Q3 2027	10.000000	0.600000	6.000	65.000%	3.900
Q4 2027	10.000000	0.800000	8.000	65.000%	5.200
Q1 2028	10.000000	0.900000	9.000	65.000%	5.850
Q2 2028	10.000000	1.000000	10.000	65.000%	6.500
Q3 2028	10.000000	2.200000	22.000	65.000%	14.300
Q4 2028	10.000000	2.800000	28.000	65.000%	18.200
Q1 2029	10.000000	3.300000	33.000	65.000%	21.450
Q2 2029	10.000000	3.800000	38.000	65.000%	24.700
Q3 2029	10.000000	4.600000	46.000	65.000%	29.900
Q4 2029	10.000000	5.300000	53.000	65.000%	34.450
Q1 2030	10.000000	5.900000	59.000	65.000%	38.350

Quarter	Revenue anchor	Demand / conversion factor	Revenue	Product margin	GP / contribution
Q2 2030	10.000000	6.400000	64.000	65.000%	41.600
Q3 2030	10.000000	6.900000	69.000	65.000%	44.850
Q4 2030	10.000000	7.400000	74.000	65.000%	48.100

7. Operating-cost bridge and quarterly operating model

The explicit quarterly non-GAAP expense schedule begins 95.154/102.5/109/112.5M. FY27 total 419.154M retains the approximately 55% annual spending-growth calibration from the earnings discussion. Later spending equals the underlying dollar investment schedule plus 15% of incremental AEC sales from the expanded demand bridge. Dollar costs rise even while the ratio falls. SBC and acquisition adjustments are excluded by the selected basis: Q1 adjusted OP 230.641 versus GAAP120.700 differs 109.941M, including 87.979M SBC. Dilution allowances do not make that recurring economic expense disappear.

Profit basis: Non-GAAP operating profit. Amounts below are USD millions.

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q3 2026	Actual	479.003	325.795	19.865%	95.154	48.150%	230.641	Reported FQ1FY27 consolidated total	HIGH total / LOW mix
Q4 2026	Model (guide midpoint)	530.000	360.400	19.340%	102.500	48.660%	257.900	FQ2 midpoint forecast	LOW model
Q1 2027	Model	636.000	446.133	17.138%	109.000	53.008%	337.133	Directional 20% sequential ramp	LOW model
Q2 2027	Model	826.800	577.934	13.607%	112.500	56.293%	465.434	Directional 30% sequential ramp	LOW model
Q3 2027	Model	996.447	695.913	13.098%	130.517	56.741%	565.396	FQ1FY28 new products and optics	LOW model
Q4 2027	Model	1,125.039	782.758	12.467%	140.256	57.109%	642.502	Billion-dollar-quarter opportunity	LOW model

Quarter	Status	Revenue	GP / contribution	Opex %	Opex	OP margin	Operating profit	Main driver	Confidence
Q1 2028	Model	1,270.641	882.229	12.112%	153.896	57.320%	728.333	Higher optical production	LOW model
Q2 2028	Model	1,455.407	1,008.495	11.843%	172.361	57.450%	836.134	FY28 optical exit-rate step	LOW model
Q3 2028	Model	1,610.422	1,115.655	11.147%	179.513	58.130%	936.142	Optical and AEC demand expansion	LOW model
Q4 2028	Model	1,741.200	1,205.990	10.974%	191.080	58.288%	1,014.910	Broader customer conversion	LOW model
Q1 2029	Model	1,864.885	1,291.209	10.866%	202.633	58.372%	1,088.577	Memory-fabric deployments	LOW model
Q2 2029	Model	1,980.260	1,370.592	10.776%	213.389	58.437%	1,157.203	FY29 production scaling	LOW model
Q3 2029	Model	2,101.318	1,454.352	10.674%	224.298	58.537%	1,230.055	Larger addressable link pool	LOW model
Q4 2029	Model	2,225.251	1,540.376	10.544%	234.638	58.678%	1,305.738	Further new-product capture	LOW model
Q1 2030	Model	2,339.162	1,619.054	10.443%	244.274	58.772%	1,374.779	Maturing optical mix	LOW model
Q2 2030	Model	2,447.162	1,693.383	10.389%	254.224	58.809%	1,439.159	FY30 programme conversion	LOW model
Q3 2030	Model	2,556.364	1,768.614	10.353%	264.655	58.832%	1,503.960	Bandwidth/content growth	LOW model
Q4 2030	Model	2,667.889	1,845.472	10.324%	275.433	58.849%	1,570.039	Reference 2.625x plus weighted AEC increment	LOW model

OP = sum of product GP/contribution - explicit operating costs. OP margin = OP ÷ revenue. Displayed numbers are rounded for reading; the workbook calculates from unrounded inputs. Guidance assigned to a future quarter retains Model status because guidance is not an actual result.

8. Multiple, shares and recognition convention

25×forward non-GAAP OP reflects qualified connectivity, differentiated software and a broadening product portfolio. It remains a price target-model judgment, not a claim that adjusted profit equals GAAP earnings. A substantial part of compensation is excluded; comparing this price target with unadjusted-OP portfolio names requires that distinction. No automatic multiple expansion is added as revenue ramps.

187.768M August 1 issued shares +8.3M RSUs +3.1M PSUs +1.7M options +up to 3.21M contingent acquisition shares =204.078M gross full-issuance illustration before forfeitures, exercise proceeds, future awards and restricted-share overlap. Replacement RSUs already inside totals are not added again. The model preserves actual 197.505M adjusted weighted-average shares and FQ2 guidance 200M, then uses 205M increasing 1.5M per quarter to 227.5M. This is a deliberately exposed future-capitalization allowance, not a reported share forecast. Cash 466.869M plus short investments 297.389M totals 764.258M; no borrowing line appears on the balance sheet. Purchase consideration and contingent obligations still consume capital. The expired/exercised historical customer warrant is not added again. [CRDO-5/7]

The valuation denominator is the price target quarter’s diluted-share proxy. It is not a historical EPS weighted-average assumption disguised as a fully known future capitalization. Unit factor: 1; this converts the model units to USD per share. No cash balance, enterprise-value adjustment or after-tax earnings substitution is added to the operating-profit price target.

9. Complete rolling four-quarter price target derivation

price target quarter	Exact earnings window	Forward 4Q OP	Multiple	Diluted shares M	price target USD	Key inflection
Q3 2026	Q3 2026 → Q2 2027	1,291.107879	25×	197.505000	163.427240	Reported FQ1FY27 consolidated total
Q4 2026	Q4 2026 → Q3 2027	1,625.862786	25×	200.000000	203.232848	FQ2 midpoint forecast
Q1 2027	Q1 2027 → Q4 2027	2,010.464443	25×	205.000000	245.178591	Directional 20% sequential ramp
Q2 2027	Q2 2027 → Q1 2028	2,401.664430	25×	206.500000	290.758406	Directional 30% sequential ramp
Q3 2027	Q3 2027 → Q2 2028	2,772.364118	25×	208.000000	333.216841	FQ1FY28 new products and optics
Q4 2027	Q4 2027 → Q3 2028	3,143.110197	25×	209.500000	375.072816	Billion-dollar-quarter opportunity
Q1 2028	Q1 2028 → Q4 2028	3,515.518334	25×	211.000000	416.530608	Higher optical production
Q2 2028	Q2 2028 → Q1 2029	3,875.762253	25×	212.500000	455.972030	FY28 optical exit-rate step
Q3 2028	Q3 2028 → Q2 2029	4,196.831533	25×	214.000000	490.284058	Optical and AEC demand expansion
Q4 2028	Q4 2028 → Q3 2029	4,490.744312	25×	215.500000	520.968018	Broader customer conversion
Q1 2029	Q1 2029 → Q4 2029	4,781.572457	25×	217.000000	550.872403	Memory-fabric deployments
Q2 2029	Q2 2029 → Q1 2030	5,067.775114	25×	218.500000	579.836970	FY29 production scaling
Q3 2029	Q3 2029 → Q2 2030	5,349.731032	25×	220.000000	607.923981	Larger addressable link pool
Q4 2029	Q4 2029 → Q3 2030	5,623.636231	25×	221.500000	634.721922	Further new-product capture
Q1 2030	Q1 2030 → Q4 2030	5,887.937361	25×	223.000000	660.082664	Maturing optical mix

- **Q3 2026:** (230.641000 + 257.900000 + 337.132800 + 465.434079) x 25 / 197.505000 = **163.427240 USD/share**. Window: Q3 2026 to Q2 2027.
- **Q4 2026:** (257.900000 + 337.132800 + 465.434079 + 565.395907) x 25 / 200.000000 = **203.232848 USD/share**. Window: Q4 2026 to Q3 2027.
- **Q1 2027:** (337.132800 + 465.434079 + 565.395907 + 642.501658) x 25 / 205.000000 = **245.178591 USD/share**. Window: Q1 2027 to Q4 2027.
- **Q2 2027:** (465.434079 + 565.395907 + 642.501658 + 728.332787) x 25 / 206.500000 = **290.758406 USD/share**. Window: Q2 2027 to Q1 2028.
- **Q3 2027:** (565.395907 + 642.501658 + 728.332787 + 836.133767) x 25 / 208.000000 = **333.216841 USD/share**. Window: Q3 2027 to Q2 2028.
- **Q4 2027:** (642.501658 + 728.332787 + 836.133767 + 936.141986) x 25 / 209.500000 = **375.072816 USD/share**. Window: Q4 2027 to Q3 2028.
- **Q1 2028:** (728.332787 + 836.133767 + 936.141986 + 1,014.909795) x 25 / 211.000000 = **416.530608 USD/share**. Window: Q1 2028 to Q4 2028.

- **Q2 2028:** (836.133767 + 936.141986 + 1,014.909795 + 1,088.576706) x 25 / 212.500000 = **455.972030 USD/share**. Window: Q2 2028 to Q1 2029.
- **Q3 2028:** (936.141986 + 1,014.909795 + 1,088.576706 + 1,157.203047) x 25 / 214.000000 = **490.284058 USD/share**. Window: Q3 2028 to Q2 2029.
- **Q4 2028:** (1,014.909795 + 1,088.576706 + 1,157.203047 + 1,230.054765) x 25 / 215.500000 = **520.968018 USD/share**. Window: Q4 2028 to Q3 2029.
- **Q1 2029:** (1,088.576706 + 1,157.203047 + 1,230.054765 + 1,305.737939) x 25 / 217.000000 = **550.872403 USD/share**. Window: Q1 2029 to Q4 2029.
- **Q2 2029:** (1,157.203047 + 1,230.054765 + 1,305.737939 + 1,374.779364) x 25 / 218.500000 = **579.836970 USD/share**. Window: Q2 2029 to Q1 2030.
- **Q3 2029:** (1,230.054765 + 1,305.737939 + 1,374.779364 + 1,439.158964) x 25 / 220.000000 = **607.923981 USD/share**. Window: Q3 2029 to Q2 2030.
- **Q4 2029:** (1,305.737939 + 1,374.779364 + 1,439.158964 + 1,503.959964) x 25 / 221.500000 = **634.721922 USD/share**. Window: Q4 2029 to Q3 2030.
- **Q1 2030:** (1,374.779364 + 1,439.158964 + 1,503.959964 + 1,570.039069) x 25 / 223.000000 = **660.082664 USD/share**. Window: Q1 2030 to Q4 2030.

10. Annual trajectory cross-check

Reporting-bucket year	Revenue	GP / contribution	Opex	OP	OP margin
2027	3,584.286	2,502.737	492.273	2,010.464	56.091%
2028	6,077.670	4,212.369	696.850	3,515.518	57.843%
2029	8,171.714	5,656.529	874.957	4,781.572	58.514%
2030	10,010.577	6,926.524	1,038.587	5,887.937	58.817%

These are sums of the displayed quarterly reporting buckets, not extra revenue and not the live valuation method. The year labels sum Q1-Q4 reporting buckets; because Credo reports fiscal quarters, these are not literal calendar-year revenues. Calendar TAM comparisons use the separate uniform-month bridge at the opening. Fiscal totals use FQ1-FQ4 as specified below. Outer-year outputs are conditional TAM/capture trajectories, not verified management sales targets.

Fiscal-year totals, using four reporting periods rather than calendar labels: FY2027 2,471.803M; FY2028 4,847.535M; FY2029 7,196.766M; FY2030 9,112.893M. FY2027 modeled optical module/DSP/PIC sum 650.839M and each exceeds 100M. FY2028 first modeled quarter approximately 996M is near the 1B run-rate signal, with the following quarter above it. The new 1.6T market forecast does not establish that all Credo modules are 1.6T. At 300-dollar ASP, FY2028 ZeroFlap implies 4M modules, a scenario capture requirement to compare with the relevant industry cohort. These independent demand checks do not validate unknown future product margins.

11. Historical Q3 2027 dilution diagnostic

This historical diagnostic retains the pre-October 11 Q3 2027 reference target of USD325.423338 and its original operating path. It is not a sensitivity around the current Q3 2027 target of USD333.216841, nor the active Q4 2027 target of USD375.072816. The current share schedule remains unchanged; the numbers below are retained only for historical comparison.

Denominator sensitivity	Q3 2027 shares M	Q3 2027 price target USD	Effect on price target
-5% shares	197.600000	342.550882	+5.26%
+0% shares	208.000000	325.423338	+0.00%
+5% shares	218.400000	309.926989	-4.76%
+10% shares	228.800000	295.839398	-9.09%

This isolates denominator uncertainty; it is not a second bull/bear operating case or permission to remove known dilution. The base case remains the explicit share path in the rolling table.

12. Programme and probability ledger

Programme / signal	Source and probability	Amount / unit base	Treatment in this model	Escalation / recognition
Existing qualified links	Commercial evidence;95% continuation confidence	Current revenue calibration	Included once; no probability discount to actual sales	Accepted shipments update customer and product mix.
Optical production expansion	Management plus production evidence;80% execution confidence	Explicit module rate/ASP scenario inV3	Embedded conversion curve, not extra optionality	Reported units and realized revenue upgrade to 95%; mismatch reopens ASP/mix.
New 1.6T family	Issuer product launch;75% commercialization confidence	Industry forecast is a demand envelope	Within optical vectors; not an additional 600M or whole TAM add-on	Repeat customer production orders replace modeled capture.
AEC market/capture expansion	BofA October 9 market forecast;30% probability	25% net capture, less calendar-aligned existing AEC in full	CY2027/28 weighted revenue +9.642/+351.025M;70% incremental GM less 15% opex	Product growth, qualified throughput, net invoice scope and realized pricing;15-35% capture sensitivity.
ALC	Issuer October 12 launch plan; existing 60% confidence retained	Assumed converted 130k FY28 cables	52M included inV6;100% launch overlap, no additional revenue or haircut	Retain prior gates: demo/qualification75%; production95%; move timing if late. The October12 release alone does not trigger either gate.
Weaver/OmniConnect	Named initial customer and content;75% programme confidence	Assumed 78k FY28 accelerator equivalents	195M included in V7; aggregate deployment assumption remains LOW	Customer systems shipped and paid orders verify deployment count.
NPO/CPO	Design-win indication;70% confidence	Assumed 33k FY28 net engine equivalents	33M included in V8; eliminate internal components	Qualified production upgrades timing, then actual ASP calibrates revenue.

Probabilities are analyst judgments under the framework signal hierarchy. Embedded revenue is not multiplied or added a second time. Where no defensible amount or unit base exists, the opportunity remains explicitly unquantified; confidence alone cannot create a revenue number. New evidence can enlarge the TAM, improve capture or move recognition earlier, but each requires an identifiable model input.

13. Scored risk classes

Risk class	Scored deduction	Mechanism and consequence
Customer concentration	-1	Customer deployment pauses affect revenue disproportionately; diversification does not remove correlated AI spending.
Competition	-1	Competing silicon, modules, firmware and internal designs can reduce sockets and pricing.
Optical production execution	-1	Laser/PIC supply, manufacturing yield and qualification constrain the production-to-revenue path.
Emerging-product timing	-1	ALC, memory fan-out and NPO revenue can move beyond the modeled launch quarters.
SBC, acquisition and dilution	-1	Adjusted OP omits material recurring compensation; stock earnouts and new awards dilute common claims.

14. Dated catalysts, counters and escalation

1. **2026-10-31 monitoring date - ALC demonstration and 1.6T qualifications** The October 12 official release provides 50m/12W-per-end targets and a 2027 shipping plan. Demonstration conditions and production acceptance remain the required quantity/cost evidence.
2. **2026-12-15 monitoring date - FQ2 results and revised outlook** Compare 530M sales/68% GM/102.5M opex with actuals; update all downstream windows.
3. **2027-05-31 - FY27 exit optical production** Reconcile module units, ASP and external component sales; unshipped output cannot be treated as revenue.
4. **2027-11-30 - Early FY28 scale and new products** Test the 1B-quarter signal and converted ALC/Weaver/NPO programmes.
5. **2028-05-31 - FY28 production-rate expansion** Compare achieved optical output with the modeled 2.53×exit rate, including inventory and acceptance.
6. **Each report through 2030 - Capture, cash and dilution** A share count above the modeled path or GP below the independent product assumptions triggers a new per-share bridge.

15. Cross-book monitoring

AVGO/MRVL/ALAB: competing and complementary designs reveal bandwidth and qualification changes. PCL/JBL/ASE: external assembly invoices can be Credo costs, not another Credo revenue stream. TSEM/GFS: silicon-photonics supply can enable growth while shifts in wafer pricing affect GP. MU/Ingenic: memory architectures determine the relevance of fan-out solutions; reduced need for one memory topology does not prove the end of HBM. Compare deployment and invoice boundaries before transferring a TAM increase across holdings.

16. Source register and model limits

CRDO-1 - Company FQ1 FY2027 results (2026-09-01). Reported revenue, GAAP/non-GAAP reconciliations and FQ2 ranges anchor the first two rows. Non-GAAP and GAAP share counts differ.

CRDO-2 - FQ1 FY2027 call, Quartr transcript reproduction (2026-09-01). Optical revenue expected above 600M in FY2027, with ZeroFlap, external DSP and PIC each above 100M. Initial PIC design wins did not include DSPs. Product revenue is not separately reported.

CRDO-3 - FQ4 FY2026 call, Quartr transcript reproduction (2026-06-01). Management differentiated two-digit component ASPs from three-digit module ASPs and identified supply commitments. FY2028 starts for new products depend on customer deployment.

CRDO-4 - Goldman conference, Quartr transcript reproduction (2026-09-10). CFO described roughly 20% then 30% sequential H2 growth and a possible 1B quarter early in FY2028. CEO discussed a doubling/tripling optical production rate by the end of FY2028. These are conditional execution signals.

CRDO-5 - FQ1 FY2027 Form 10-Q (2026-09-03). Acquisition, customer concentration, stock compensation and share dilution qualify the adjusted-profit model.

CRDO-6 - Credo 224G/1.6T ZeroFlap launch (2026-09-15). New optical transceivers integrate the 224G DSP, Kfir 200 PIC and PILOT. Cignal AI analyst Scott Wilkinson forecasts more than 11M 1.6T transceivers in 2026 and more than twice that in 2027. This is an industry forecast, not Credo orders.

CRDO-7 - DustPhotonics transaction terms (2026-04-14). Announced contingent consideration up to approximately 3.21M shares. Closing financials supersede estimated upfront amounts; contingent shares are not ordinary issued shares yet.

CRDO-8 - BofA Global Research, Q3 Cloud Capex Preview, October 9,2026, page 10. Owner-supplied local PDF; original source page embedded above. AEC TAM forecasts USD6.9B/13.2B in 2027/28 are forecasts, not Credo orders. The 25% net capture,30% probability, calendar allocation and cost conversion are our explicit assumptions. The existing AEC forecast is deducted before weighting.

CRDO-9 - Official October 12 ALC release. Company launch and design targets; shipping planned 2027. Full issuer text was independently read through the supported web reader after direct HTML retrieval returned 403. Original publisher text and recovery record are retained locally. No inaccessible press-release image is treated as a measurement.

CRDO-10 - Credo current ALC product page, retrievedOctober 12,2026. Explicit microVCSEL/microLED alternatives, wide-parallel NRZ architecture and row-scale reach. The embedded original published product image is 209,347 bytes,1024x 876 pixels, SHA256 0457185c81519562ab0bc52634d11b432dbb9bae92aa8ee5c095b5697612f1fa. These issuer representations are not measured customer yield, reliability or revenue.

Product splits, ASPs, unit counts and individual margins are analyst proxies, not disclosed segments. The optical output ramp does not guarantee recognized sales. The last two call transcripts contain obvious automated product-name errors; names were reconciled to the latest disclosure rather than copied literally. Long-range forecasts remain LOW confidence. The accounting basis differs from GAAP and from unadjusted OP models elsewhere in the portfolio.

Workbook reference: v 3_2_master_portfolio.xlsx, tab CRDO_Q_Model. October 11 changes AEC revenue and directly dependent GP, operating expense and rolling targets. The 25x non-GAAP operating-profit method, share schedule and both Base scores are retained. October 6 engineering evidence remains a separate no-increment assessment. October 12 official ALC specifications and the 2027 launch plan are synchronized as evidence-only, with all numerical forecasts unchanged.